

months. They need to find a home before then to avoid signing a one-year extension.

To get started on their journey, they call a local lender to find out just how much house they can afford. Their lender tells them that their collective income and credit qualifies for a maximum mortgage loan of about \$400,000. The monthly payment would be about \$2,500, which is significantly higher than their current rent—but with the countless benefits of homeownership.

Here's a quick peek behind the scenes: Though Alex and Shelby are ecstatic that they qualify for a \$400,000 home, their lender isn't totally unbiased. While the loan qualification is based on hard numbers, the lender's goal is to calculate the *largest* possible loan—because the larger the loan, the more money the lender makes in commission.

What does the happy couple do with this information? Well, they call up Joy, a local real estate agent whose face and phone number they saw on a bench (“These signs really work!”), and tell her they're shopping for their dream home with an all-in budget of \$440,000—the \$400,000 loan plus their \$40,000 in cash.

Another look behind the scenes: Though Joy really wants her customers to be happy with their homes, she also earns a commission of 3 percent of each property's purchase price. The bigger the home, the bigger her commission. The faster she transacts, the more commissions she receives. Simply put, she helps local home buyers buy the most expensive homes possible in the shortest amount of time.

Joy asks the couple about their preferences—big yard, quiet street, newer build, close to amenities—and she takes them to neighborhoods where properties just so happen to be priced at \$425,000 to \$450,000 each. After a few showings, Joy presents them with a beautiful three-bedroom home that just came on the market in a darling neighborhood.

Alex and Shelby fall in love with the property. It's perfect. There are extra bedrooms for their future children, an unfinished basement that could be completed with a possible fourth bedroom, a huge garage, and a brand-new kitchen.

The problem? The home is listed at \$485,000—just beyond their price range. But, hey, Alex and Shelby have fallen in love. This is their forever home, and they simply *have* to have it. Being the totally unbiased party that